

25STCV14082 25STCV14082

County: los-angeles

Division: Civil Law and Motion

Department: 224

Hearing date: 2026-08-04

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C224%2C08%2F04%2F2026

Source SHA-256: b84627d02e74b0b974da494957f42791bf5a4fd530519cf9bc77a2f8e2760d9f

Case Number: 25STCV14082 Hearing Date: August 4, 2026 Dept: 224

Creditors Adjustment Bureau Inc. v. Screamline Investment Corporation a/k/a Screamline Investment et al

TENTATIVE RULING

Defendants' Demurrer to the First Amended Complaint is **OVERRULED** in as to the second cause of action and **SUSTAINED** with 30 days leave to amend as to the first, third, fourth, and fifth causes of action.

The Case Management Conference is continued to November 13, 2026 at 8:30 a.m.

ANALYSIS

I. INTRODUCTION

Plaintiff Creditors Adjustment Bureau, Inc. ("Plaintiff") filed this debt collection action against Defendants Screamline Investment Corporation a/k/a Screamline Investment d/b/a Tour Coach a/d/b/a Tour Coach Transportation a/d/b/a Tourcoach Transportation a/d/b/a Starline Tours USA ("Screamline"); Starline Tours of Hollywood, Inc. a/k/a Starline Tours of Hollywood Inc. a/k/a Starline Tours of Hollywood d/b/a Tour Coach Transportation ("Starline"); Starline Tours USA, Inc. a/k/a Starline Tours USA Inc a/k/a Starline Tours USA d/b/a Starline Tours a/d/b/a Hollywood Hop On & Off Tours a/d/b/a Beverly Hills Sightseeing ("BHS"); and DOES 1 through 10.

On June 30, 2025, Plaintiff filed the operative First Amended Complaint ("FAC") against Defendants, asserting causes of action: (1) Breach of Contract – Policy No. 9295547-21; (2) Breach of Contract – Policy No. 9295547-23; (3) Open Book Account; (4) Account Stated; and (5) Reasonable Value.

On November 3, 2025, Defendants Screamline, Starline, BHS (hereinafter, "Defendants") filed the instant Demurrer to the FAC. On July 21, 2026, Plaintiff filed an Opposition. On July 28, 2026, Defendants filed a Reply.

II. LEGAL STANDARD

"The primary function of a pleading is to give the other party notice so that it may prepare its case [citation], and a defect in a pleading that otherwise properly notifies a party cannot be said to affect substantial rights." (Harris v. City of Santa Monica (2013) 56 Cal.4th 203, 240.)

"A demurrer tests the legal sufficiency of the factual allegations in a complaint." (Ivanoff v. Bank of America, N.A. (2017) 9 Cal.App.5th 719, 725.) The Court looks to whether "the complaint alleges facts sufficient to state a cause of action or discloses a complete defense." (Id.) The Court does not "read passages from a complaint in isolation; in reviewing a ruling on a demurrer, we read the complaint 'as a whole and its parts in their context.' [Citation.]" (West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 804.) The Court "assume[s] the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken." (Harris, supra, 56 Cal.4th p. 240.) "The court does not, however, assume the truth of contentions, deductions, or conclusions of law. [Citation.]" (Durell v. Sharp Healthcare (2010) 183 Cal.App.4th 1350, 1358.)

A general demurrer may be brought under Code of Civil Procedure section 430.10, subdivision (e) if insufficient facts are stated to support the cause of action asserted or under section 430.10, subdivision (a), where the court has no jurisdiction of the subject of the cause of action alleged in the pleading. All other grounds listed in Section 430.10, including uncertainty under subdivision (f), are special demurrers. Special demurrers are not allowed in limited jurisdiction courts. (Code Civ. Proc., § 92, subd. (c).)

A demurrer for uncertainty means the pleading is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) "[D]emurrers for uncertainty are disfavored and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond." (A.J. Fistes Corp. v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 695.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

III. MEET AND CONFER

Prior to filing a demurrer, the demurring party is required to meet and confer in person, by telephone, or by videoconference with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc., § 430.41.)

Here, Defendants' counsel of record, Sandra J. Vivonia, Esq., states that she met and conferred with Plaintiff's counsel via telephone at least five days before the demurrer was due. (Vivonia Decl. – CIV-140 Form, Item 2a.) The parties were unable to reach an informal resolution. (Id.) Therefore, the Court finds that Defendants fulfilled their meet and confer obligations.

IV. DISCUSSION

Defendants demur to all five causes of action asserted in the FAC on the grounds that (1) the FAC fails to allege the debt was assigned or sold to Plaintiff; (2) the FAC fails to allege when the amount on the first insurance contract became due or why; (3) the FAC fails to allege that an invoice was generated for additional premiums and when they were not paid as to the second insurance contract; and (3) the three common count claims are uncertain. Plaintiff opposes.

Breach of Contract (1st through 2nd COAs)

Establishing a breach of contract claim, "requires a showing of (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (D'Arrigo Bros. of California v. United Farmworkers of America (2014) 224 Cal.App.4th 790, 800 (internal quotations omitted).) "Further, the complaint must indicate on its face whether the contract is written, oral, or implied by conduct." (Otworth v. Southern Pac. Transportation Co. (1985) 166 Cal.App.3d 452, 458–459.) Generally, if the claim is based upon a written contract, the

complaint must set out the contract's terms verbatim or the plaintiff must attach a copy of the written contract to the complaint and incorporate it by reference. (Id.) Otherwise, "a plaintiff may plead the legal effect of the contract rather than its precise language." (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198–199.)

California courts have held that "It is now well settled that an assignee for collection is the legal owner of the chose in action and entitled to sue thereon." (Hammell v. Superior Court in and for Los Angeles County (1932) 217 Cal. 5, 8; see also Henningsen v. Mayfair Packing Co. (1953) 41 Cal.2d 558, 561; Harrison v. Adams (1942) 20 Cal.2d 646, 650.)

The FAC alleges, inter alia, that prior to the commencement of this action, the claims sued upon were assigned to Plaintiff by State Compensation Insurance Fund ("SCIF" or "Plaintiff's Assignor") for collection purposes. (FAC, ¶¶1-4.) SCIF and Defendants entered into a written agreement wherein, SCIF agreed to provide policies of workers compensation insurance to Defendants. (Id., ¶¶11-12.) The Policy No. 9295547-21 ("2021 Policy") covered the period of 4/2/21 through 4/2/22, and Defendants agreed to pay premiums in accordance with the terms and conditions of the 2021 Policy. (Id.) SCIF performed all its obligations under the 2021 Policy. (Id., ¶13.) Defendants breached the 2021 Policy by failing to pay \$352,640.99 in premiums at a ten (10) percent interest that was due on 11/5/22. (Id., ¶¶2-3, 14.) The Policy No. 9295547-23 ("2023 Policy") covered the period of 4/2/23 through 10/6/23. (Id., ¶¶16-17.) SCIF performed all its obligations under the 2023 Policy. (Id., ¶18.) Defendants breached the 2023 Policy by failing to pay a \$247,429.95 invoice incurred by SCIF in attempting to perform an audit since Defendants did not comply with the audit request, which was due on 2/18/24. (Id., ¶¶2-3, 19-21.)

Reading the FAC as a whole and taking the allegations as true, Plaintiff sufficiently alleges that SCIF and Defendants entered into two written agreements for workers' compensation insurance, i.e., the 2021 Policy and 2023 Policy (jointly, the "Policies"), which shows the existence of two contracts. Furthermore, Plaintiff alleges that SCIF performed its obligations with respect to the terms of the Policies. Plaintiff also alleges Defendants breach of the two contracts in two respects, (1) failing to pay premiums as to the 2021 Policy and (2) failing to comply with SCIF's audit request causing SCIF to incur costs in attempting to perform its own audit. Plaintiff further alleges that SCIF suffered damages in the amount of \$352,640.99 that became due on the 2021 Policy on November 5, 2022 and \$247,429.95 that became due on the 2023 Policy on February 18, 2024. To the extent that Defendants contend that the FAC does not allege assignment of the Policies to Plaintiff, the Court disagrees as to the 2023 Policy. The FAC expressly alleges that the claims, i.e., the debt for the Policies, were assigned to it by SCIF for collection purposes. (See FAC, ¶¶1-4.) Moreover, Plaintiff has submitted the purported Assignment Agreement between Plaintiff and SCIF. (Hernandez Decl., ¶4, Ex. 2.) However, the Assignment Agreement only addresses the 2023 Policy not the 2021 Policy. Allegations "which are contradicted by the express terms of an exhibit incorporated into the complaint" are disregarded by the Court. (Breneric Associates v. City of Del Mar (1998) 69 Cal.App.4th 166, 180.)

Thus, the demurrer to the first cause of action is SUSTAINED with leave to amend and to the second cause of action is OVERRULED.

Common Count Claims (3rd through 5th COAs)

"The essential allegations of a common count 'are (1) the statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment.' " (Allen v. Powell (1967) 248 Cal.App.2d 502, 510; see also State Compensation Insurance Fund v. ReadyLink Healthcare, Inc. (2020) 50 Cal.App.5th 422, 449 (internal quotations omitted) [open book account]; Leighton v. Forster (2017) 8 Cal.App.5th 467, 491 [account stated].)

The FAC alleges, inter alia, that Defendants became indebted to SCIF in the amount of \$352,640.99 that became due on the 2021 Policy on November 5, 2022 and \$247,429.95 that became due on the 2023 Policy on February 18, 2024 for goods sold and delivered and/or services rendered by SCIF to Defendants at Defendants' request. (FAC, ¶¶24, 27, 30.) No part of the debt owed on the Policies have been paid by Defendants, although demanded on the due dates. (Id.)

Reading the FAC as a whole and taking the allegations as true including exhibits incorporated by reference, Plaintiff sufficiently alleges facts to support the common count claims as to the 2023 Policy. Specifically, Plaintiff alleges that the amount of \$247,429.95 became due on the 2023 Policy on February 18, 2024, which is a certain sum. Furthermore, Plaintiff alleges that the amount owed on the 2023 Policy was for SCIF providing Defendants with workers' compensation insurance

from the periods of 4/2/23 through 10/6/23 (services). Finally, Plaintiff alleges that Defendants have not paid the amount owed on the 2023 Policy including the ten (10) percent interest to date. Nonetheless, these claims fail as to the 2021 Policy based on Plaintiff's allegations expressly contradicting the Assignment Agreement, which is incorporated by reference in the FAC and submitted in support of Plaintiff's opposition to the demurrer. (Hernandez Decl., ¶14, Ex. 2.)

Thus, the demurrer to the third through fifth causes of action is SUSTAINED with leave to amend.

V. CONCLUSION

Accordingly, Defendants' Demurrer to the First Amended Complaint is OVERRULED in as to the second cause of action and SUSTAINED with 30 days leave to amend as to the first, third, fourth, and fifth causes of action.

The Case Management Conference is continued to November 13, 2026 at 8:30 a.m.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order.